

Putin faces 'very difficult choices' in Ukraine as sanctions bite, Estonia's spy chief says

TALLINN, May 18 (Reuters) - Russian President Vladimir Putin has few good options in Ukraine with his armed forces unable to advance significantly on the battlefield while Western sanctions are chipping away at his resources, Estonia's foreign intelligence chief has said.

Kaupo Rosin, a top spy on NATO's eastern flank, told Reuters Russia was losing more men than it was recruiting in the fifth year of its full-scale war, and that a general mobilisation would be deeply unpopular and potentially undermine stability.

"All these factors together are creating a situation where some people in Russia including in the higher levels understand that they have a big problem. Hard to say what Putin thinks about it, but I think all these factors are starting to float into his decision-making," he said in an interview in Tallinn.

Russian forces in recent months have been registering some of their slowest rates of advance in Ukraine since 2023, one year after their full-scale invasion of Ukraine. Russia's [\\$3 trillion economy](#) contracted by 0.3% in the first quarter.

Putin says government measures to boost the economy are beginning to yield [positive results](#), and he has repeatedly said Russian forces will [fight on](#) until they have achieved all their goals.

Rosin said the main reason the financial situation in Russia was "so bad" was the sanctions on the financial sector that were "really, really hurting", while punitive measures on Russia's oil exports were also limiting its income.

"I think it's very difficult choices for them now. It's hard to predict what they will decide in this current situation."

Estonia, which shares a land border with Russia, is a leading supporter of Ukraine in the NATO military alliance and European Union, and it has persistently called on its allies to step up pressure on Moscow.

"So my message is let's push forward with (sanctions). This is not the time to hesitate, just let's keep going," he said.

NO SIGN OF A 'BIG BREAKTHROUGH' TOWARDS PEACE

Another European intelligence chief, who spoke on condition of anonymity, told Reuters in separate remarks that it was clear there were growing signs of pressure on Russia, but no indication for now that was changing Moscow's calculus in the war.

"It's very difficult for me to see that they (Russia) would get rid of their objective to get the whole Donbas area... and Russia is in no hurry, basically," the chief said.

Russia has insisted during U.S.-brokered peace talks that Ukraine should withdraw from the eastern Donbas region as part of any deal, a proposal that Kyiv has rejected.

The Donbas region comprises the Russian-occupied province of Luhansk and the Donetsk region, some of which Ukraine has been able to defend against a years-long Russian offensive.

The spy chief added it did not look like Russia was moving to soften its objectives in the war or that there was any kind of "big breakthrough" in the offing. The spy chief described Russian society as resilient.

"It is wishful thinking that now Russia's leadership is in some way eroding, or Putin is somehow challenged (domestically)..." the official said.

BIG MILITARY AMBITIONS

The Estonian spy chief predicted that Russia would not drop its objective of subjugating Ukraine while Putin remained in power, and would also keep a sizeable military on Ukraine's borders even after the end of the conflict.

In addition, he said, once the fighting is over, Moscow will seek to expand its military along the border with NATO and seek "military dominance ... from the Arctic until the Black Sea."

"The military ambition is very, very big on the Russian side", he said, predicting Moscow would continue to carry out sabotage attacks in the West regardless of danger to civilian lives.

Russia has consistently denied any involvement in sabotage planning or attacks, and rejects such accusations as Western scaremongering.

"Russia sees this (such attacks) as something which doesn't ignite a big war," Rosin said.